important cornerstone of what banking is today. Ten Provincial Committees were appointed to deal with agricultural credit, facilities for small-scale industries, mortgage banks, financing of internal trade, and deposit mobilization. An All-India Committee was formed to coordinate the material collected by the Provincial Committees and to make independent investigations into banking regulation, education, and financing of industries like cotton and jute. The Committee was assisted by a group of six experts from England and Europe, the last Committee to have received such assistance.

SALIENT RECOMMENDATIONS OF THE COMMITTEE

The Committee made detailed recommendations on all matters. An examination of all the recommendations is beyond the scope of our study but the following paragraphs provide the flavour.[6]

Rural Finance: The Committee estimated the extent of rural indebtedness at ₹900 crores which it held was on the increase due to past indebtedness, uneconomic size of holdings, extravagant expenditure on marriages and religious ceremonies, high rates of interest, and losses of cattle due to droughts and disease. All this resulted in the transfer of land from farmers to moneylenders, creating a class of landless proletariat. Indebtedness was aggravated by the absence of a satisfactory system of agricultural finance. The Committee recommended a Provincial Board of Economic Inquiry in each province to provide economic data to build an agricultural policy to suit modern conditions. It recommended a scheme of debt conciliation on a voluntary basis; a Rural Insolvency Act; and legislation to secure the settlement of debts on a compulsory basis.

Moneylenders: The Committee while adversely commenting on the sharp practices and extortionate rates of interest of the moneylenders held that the moneylenders were an indispensable part of the rural economy and rather than being allowed to die out should be reformed and rejuvenated. They were a repository of local knowledge and experience and their business relations spanned centuries. A rigorous enforcement of existing legislation coupled with the extension of joint-stock and cooperative banking and better education would help reduce the rates of interest charged by the moneylenders. The Committee suggested that the moneylenders be brought